halved, Daly's maximum drawdown from an equity peak to equity low has been only 10.3 percent. Even more impressive in terms of risk control, with the exception of November 2000 when he lost 6 percent, all his other monthly losses have been under 4 percent. Daly's Gain to Pain ratio based on net returns is a very high 3.2. (See Appendix A for an explanation of the Gain to Pain ratio.)

Daly earned a civil engineering degree at the University of Berkeley, but well before he graduated, he realized that he had no interest in his chosen field of study. He was bothered by the lack of creativity in the process. The answers to any specific problem were prescribed. If you knew the formulas, you would plug in the numbers, get the answer, and move on to the next problem. There was a sameness about it that was unappealing to Daly. After graduating, he enrolled in the University of San Francisco's MBA program, thinking that a career in business might provide him with the variety he sought.

Daly's first job—and as it turned out only job prior to launching his hedge fund—was with Hoefer & Arnett, a boutique brokerage and investment-banking firm. He was originally hired as a broker, but this quickly morphed into a research position. Originally, Daly was the only research analyst, but as the firm grew and other analysts were hired, he became the research director. His Five Corners fund was originally launched within the firm.

It is probably more accurate to think of Daly as a private investor than a hedge fund manager. The hedge fund is essentially the private account he would be running if he were on his own, with a structure that allows other investors to co-invest. Daly accounted for about one-third of the invested assets when the fund launched, and still accounts for about the same percentage today. He runs the fund as a solo operation from his home office. Daly is quite happy with this simple structure, and he is downright reluctant to put any effort into raising assets for his fund, as it might necessitate expanding beyond a one-man business. He is loath to complicate what he considers the perfect current arrangement. Daly is a man whose work and hobby are the same. If Daly were retired, I believe his life would be totally unchanged. He would, no doubt, still be spending his day managing his stock account, which would be indistinguishable from the